الطالب الأكاديمي
THE ACADEMIC STUDENT

Faculty of Business Studies

ACC204

Intermediate Financial Accounting

Final Examination - Version A

Second Semester 2024-2025

16-June-2025

Number of Exam Pages: 3 (including this cover sheet)	**Time Allowed: 2 hours**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the exar
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Polic

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- **Question 1 (20 marks):**

a. What are the advantages of leasing for lessees? (10 marks; mention 4 advantages)

b. There are two methods that are used for the preparation of a cash flow statement. Identify these two methods and explain the similarities and differences between them. (10 marks)

- **Question 2 (38 marks):**

On January 10, 2023, Madison Company acquired 5,000 shares at $5 per share of Lousy Inc., which represents 20% ownership.

a. Prepare the acquisition entry done by Madison on January 10, 2023.
   i. Assuming that Madison has a **significant influence** on Lousy Inc.
   ii. Assuming that Madison has an **insignificant influence** on Lousy Inc.

b. If Lousy Inc. has reported a net income of $40,000, record the entry by Madison to prove its portion of Lousy's income.
   i. Assuming that Madison has a **significant influence** on Lousy Inc.
   ii. Assuming that Madison has an **insignificant influence** on Lousy Inc.

c. Lousy Inc. has announced and paid cash dividends of $50,000. Prepare the required entry by Madison to record the received dividends.
   i. Assuming that Madison has a **significant influence** on Lousy Inc.
   ii. Assuming that Madison has an **insignificant influence** on Lousy Inc.

d. On December 31, 2023, the shares were valued at $8 per share, and Madison owns 5,000 shares. Record the required entry for Madison.
   i. Assuming that Madison has a **significant influence** on Lousy Inc.
   ii. Assuming that Madison has an **insignificant influence** on Lousy Inc.

e. On December 31, 2024, the shares were valued at $6 per share, and Madison owns 5,000 shares. Record the required entry in Madison company.
   i. Assuming that Madison has a **significant influence** on Lousy Inc.
   ii. Assuming that Madison has an **insignificant influence** on Lousy Inc.

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Question 3 (42 marks):

The statement of financial position data of Eric Company. at the end of 2022 and 2021 are as follows:

	2022 ($)	2021 ($)
Equipment	90,000	75,000
Accumulated Depreciation - Equipment	(18,000)	(8,000)
Land	40,000	40,000
Inventory	62,000	45,000
Accounts Receivable	55,000	45,000
Prepaid Expenses	15,000	25,000
Cash	42,000	35,000
Total Assets	**286,000**	**257,000**
Share Capital – Ordinary, $10 par	159,000	159,000
Retained Earnings	17,000	5,000
Notes Payable – Bank, Long-term	0	23,000
Bonds Payable	30,000	0
Accounts Payable	65,000	52,000
Accrued Expenses	15,000	18,000
Total Liabilities and Equity	**286,000**	**257,000**

Note: All equipment purchased was for cash. Net income was $12,000 for the year 2022.

Required: Prepare a statement of cash flows for the year 2022 using the indirect method.

[End of Questions]

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